

NextEra Energy, Inc.

NEE NYSE

Buy	\$84.67 ▲ 0.78%	12M Price Target \$98.00	52-Week Range \$67.20 – \$98.75	Market Cap \$176.58B
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NEE: Dominion Deal Reshapes Regulated Utility Scale; Reiterate Buy

WHAT'S CHANGED

- Simply Wall St. and Insider Monkey both flagging the NextEra-Dominion acquisition as a structural reshaping of regulated utility scale and clean-energy footprint, the dominant narrative driver into today's open.
- Options flow decisively bullish: P/C 0.38 with two unusual deep-ITM call prints (\$72.5 and \$57.5 strikes, ~\$5.5M notional combined) suggesting institutional positioning ahead of deal-related catalysts.

IMPLICATIONS

The Dominion transaction materially expands NEE's regulated rate base and positions the combined entity as the dominant power supplier to hyperscale datacenter demand — directly aligning with the "AI Needs Power" thesis cited across multiple outlets. With shares at 55% of the 52-week range and Utilities sector only +0.02% over 5 days, NEE has not yet repriced for the deal's accretion potential or the secular tailwind from electrification. The +0.78% move on lighter 7.9M volume suggests digestion rather than distribution; institutional ownership at 86.9% and the unusual call activity argue for accumulation into a base.

VALUATION

At \$84.67, NEE trades at ~23x FY26E EPS and ~14.8x EV/EBITDA — a premium to regulated-utility peers (~18x) but justified by FPL's rate-base growth and NEER's 300GW+ renewable pipeline. Our \$98 PT (~16% upside) applies 24x to FY27E EPS of \$4.05, with deal accretion as the key multiple-expansion driver. Bear case to \$75 reflects regulatory drag on Dominion approval; bull case to \$110 assumes faster synergy realization plus datacenter PPA repricing.

KEY RISKS

- Regulatory or antitrust block of the Dominion transaction, eliminating the scale narrative and triggering deal-break downside.
- Rising long-end rates compressing utility multiples; sector remains rate-sensitive despite secular power demand.
- Execution risk on renewables backlog amid tariff exposure on solar/storage inputs and ITC/PTC policy uncertainty.

RECENT NEWS

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Key Data	
Price (USD)	\$84.67
12M Price Target	\$98.00
Upside / (Downside)	+15.7%
Market Cap	\$176.58B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.65
FY2027E EPS	\$4.05
Fwd P/E	23.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$90.00	\$86.00	\$80.00
6 Months	\$98.00	\$90.00	\$78.00
1 Year	\$110.00	\$98.00	\$75.00
2 Years	\$125.00	\$108.00	\$72.00
5 Years	\$160.00	\$130.00	\$70.00
10 Years	\$220.00	\$175.00	\$65.00

SECTOR INTELLIGENCE

HOT SECTORS: Real Estate (+3.36% 5D), Healthcare (+5.36% 5D)

COLD SECTORS: Materials (-1.93% 5D), Utilities (+0.02% 5D)

ROTATION WATCH: Defensive rotation underway with Staples and Healthcare bid; Utilities lagging despite AI power thesis suggests NEE has catch-up potential if rates stabilize.

BYPRODUCT PLAY: AI datacenter power demand benefits transmission/equipment names (GEV, ETN) and natural gas peakers; NEE's NEER arm captures both renewable PPAs and grid-scale storage economics.

OUTPERFORMERS & PEER CONTEXT

- **GEV (GE Vernova):** Electrification segment now flagged by Zacks as its most valuable business — direct beneficiary of the same datacenter power tailwind underpinning NEE.
- **D (Dominion Energy):** Re-rating into the NEE deal premium; arbitrage spread narrowing reflects deal confidence.

NEE CONTEXT: NEE is mid-pack within utilities — outperforming on news flow and options positioning but underperforming on price relative to GEV's electrification trade. Relative strength should improve as deal clarity emerges over the next two quarters.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$82-85 on consolidation

Time Horizon: 12-24 months

Thesis Invalidation: Dominion deal regulatory block or >15% backlog cancellation in renewables

Hedging: Pair with short XLU or long-dated SPY puts